

it”); see also *Simmons v. Superior Court of Los Angeles County* (1950) 96 Cal.App.2d 119, 130 (stating that “[w]here the rights of the parties to the second action cannot be properly determined until the questions raised in the first action are settled the second action should be stayed... [e]quity abhors a multiplicity of actions... [i]t is the policy of the law to reduce to the minimum the number of actions which may subsist between the same parties”).)

The hearing on Defendants’ motion for sanctions, scheduled for June 16, 2026, Defendants’ demurrer, and Plaintiff’s motion for leave to file an amended complaint and motion to compel depositions are continued to March 9, 2027 at 9:00 a.m.

A case management conference is hereby scheduled for December 8, 2026 at 10:00 a.m. in Department 6 to check the status of the appeal and to determine whether the hearing on the motions needs to be continued further.

Line Item #6

Case Name: *Zhang v. OKBL USA Technology*

Case No.: 25CV482868

BACKGROUND

Defendant OKBL USA Technology Inc. (“Defendant” or “OKX”) is a “cryptocurrency exchange company that operates a digital asset trading platform and markets related financial products and services throughout the United States and across the globe.” (Declaration of Shone Barton [“Barton Decl.”] at ¶ 2.) Plaintiff Yiyi Zhang (“Plaintiff”) was employed by OKX as a Content Product Designer on August 15, 2024. (Complaint at ¶ 53.) As part of the onboarding process, Plaintiff executed an Employment Agreement which included (i) a Confidentiality and Work Product Agreement; and (ii) an Arbitration Agreement. (Barton Decl. at ¶ 6.)

Plaintiff’s employment was terminated on August 1, 2025. (Barton Decl. at ¶ 3.) On December 22, 2025, Plaintiff filed suit against Defendant alleging causes of action for violations

of the Fair Employment and Housing Act including (1) discrimination; (2) retaliation; (3) failure to prevent discrimination and retaliation; (4) failure to provide reasonable accommodations; (5) failure to engage in a good faith interactive process; (6) declaratory judgment; and (7) wrongful termination in violation of public policy.

Defendant now moves to compel arbitration pursuant to the Arbitration Agreement (“the Agreement”) that was electronically signed by Plaintiff during the onboarding process. Defendant argues the Agreement’s delegation clause clearly and unmistakably delegates all issues of arbitrability and enforceability to the arbitrator. Plaintiff argues the Arbitration Agreement, including the delegation clause, is unconscionable. Having reviewed the Agreement, the Court agrees with Defendant and grants the motion.

LEGAL STANDARD

Defendant argues the Agreement is governed by the Federal Arbitration Act (“FAA”) based on the language itself and because its operations affect interstate commerce. (Mtn. to Compel Arbitration at pp. 9:14-10:22.) The Agreement provides the parties shall submit to “final and binding arbitration in accordance with the Federal Arbitration Act.” (Barton Decl., Ex. A.) Plaintiff’s job duties at OKX included “ensuring content quality and elevating the user experience on OKX’s online cryptocurrency exchange platform, which is accessed by consumers throughout the United States and the world.” (*Id.* at ¶ 3.) Plaintiff interacted with employees outside of California and used interstate channels or online tools to collaborate with team members. (*Ibid.*)

The basic coverage provision of the FAA “makes the law applicable to contracts evidencing a transaction ‘involving commerce’ (9 U.S.C. § 2), which language reflects that Congress intended the law’s coverage to extend to the full reach of its commerce clause power.” (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279 [internal citations omitted].) The Court finds that this satisfies the interstate commerce requirement that in any event, “[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA.” (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 289.)

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

ANALYSIS

There is a Valid Agreement to Arbitrate

A valid agreement to arbitrate exists between the parties. “The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158 [internal citations and quotations omitted].) Defendant has attached a copy of the Arbitration Agreement to its motion, and has, therefore, met its initial burden. (Barton Decl., Ex. A.) The Agreement provides in relevant part:

Employee and OKBL USA Technology Inc. and its parents, subsidiaries and affiliates (collectively, the “Company”) mutually agree that any and all existing or future claims or controversies arising out of or relating to Employee’s employment, the termination thereof, or otherwise arising between Employee and the Company shall, in lieu of a jury or other civil trial, be settled by final and binding arbitration in accordance with the Federal Arbitration Act. This arbitration agreement (“Agreement”) includes all claims whether arising in tort or contract and whether arising under statute or common law including, but not limited to, any claim of breach of contract, discrimination or harassment of any kind. For avoidance of doubt, this Agreement shall include all claims or controversies that may have already arisen between Employee and the Company.

(*Ibid.*)

Here, Plaintiff affixed her electronic signature to the Agreement on August 2, 2024. (Barton Decl., Ex. A, B.) “A party’s acceptance of an agreement to arbitrate may be express, as

whether a party signs the agreement.” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Moreover, “[u]nder Civil Code section 1633.7 . . . an electronic signature has the same legal effect as a handwritten signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The authenticity of an electronic signature may be established by detailing the “security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement.” (*Id.* at p. 1062.)

In August 2024, OKX used DocuSign “to facilitate the review and execution of onboarding documents by employees.” (Barton Decl. at ¶ 5.) DocuSign uses security protocols designed so that only the employee to whom the document is sent can access and electronically sign the document. (*Ibid.*) Employees were required to create a personalized signature and sign documents on DocuSign. (*Ibid.*) Records show that on August 2, 2024, OKX sent Plaintiff a written offer of employment alongside an Employment Agreement which included (i) a Confidentiality and Work Product Agreement, and (ii) an Arbitration Agreement. (Barton Decl. at ¶ 6.) These documents were transmitted via DocuSign to Plaintiff’s personal e-mail address. (*Ibid.*) Plaintiff electronically received and signed the Employment Agreement, Confidentiality Work Product Agreement, and Arbitration Agreement on August 2, 2025 at 5:02 p.m. (Barton Decl. at ¶¶ 6, 8, Exs. A & B.) Defendant’s account of this process is sufficient to authenticate Plaintiff’s signature.

To the extent Plaintiff argues she did not understand the meaning of the document she was signing, “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) The general rule is that “one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with the language.” (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 383.) Thus, based on Plaintiff’s electronic signature, mutual assent exists between the parties, and Plaintiff is bound by the terms of the Agreement. Defendant has established a valid agreement to arbitrate between the parties.

All Other Issues are Delegated to the Arbitrator

Defendant argues all other issues must be delegated to the arbitrator based on the existence of the delegation clause. (Mtn. to Compel Arbitration at pp. 12:19-13:14.) The question of whether the parties agreed to arbitrate a particular dispute is generally to be decided by the court. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 649.) The parties may, however, agree to submit the arbitrability question itself to arbitration. (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 943.) Courts should find that the parties agreed to arbitrate arbitrability only where there is clear and unmistakable evidence that they did so, resolving any ambiguity in favor of a finding that the issue is for the court to determine. (*Id.* at pp. 944-45.) “An arbitration provision’s reference to, or incorporation of, arbitration rules that give the arbitrator the power or responsibility to decide issues of arbitrability may constitute clear and unmistakable evidence the parties intended the arbitrator to decide those issues.” (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 893 (*Aanderud*).)

In this regard, the Agreement provides: “Employee and Company also agree to submit claims to the arbitrator regarding issues of arbitrability, the validity, scope, and enforceability of this Agreement, his or her jurisdiction, as well as any gateway, threshold, or any challenges to this Agreement, including claims that this Agreement is unconscionable.” (Barton Decl., Ex. A.) The language of the delegation clause here is clear and unmistakable that the parties agreed to delegate not just threshold issues of arbitrability but specifically issues of enforceability including unconscionability to the arbitrator. The Agreement also includes reference to the JAMS Employment Arbitration Rules & Procedures (“JAMS Rules”), which is further evidence that the parties intended the arbitrator to decide those issues. (See Barton Decl., Ex. A.) Plaintiff does not dispute the existence of the delegation clause. (Reply at p. 8:13-14.) Rather, Plaintiff attempts to argue the delegation clause is unconscionable. (Opposition at p. 6:5-16.)

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*).) This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa.

(*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

“When determining whether a delegation clause is unconscionable, any claim of unconscionability must be specific to the delegation clause.” (*Aanderud, supra*, 13 Cal.App.5th at p. 895 [citing *Rent-A-Center, W., Inc. v. Jackson* (2010) 56 U.S. 63, 73 (*Rent-A-Center*).]) “If the party’s challenge is directed to the agreement as a whole—even if it applies equally to the delegation clause—the delegation clause is . . . enforced . . . [and] the arbitrator, not the court will determine whether the agreement is enforceable.” (*Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1559-1560.)

Plaintiff makes only one argument that is specific to the delegation clause. Plaintiff argues that it was imposed as a condition of employment. (Opposition at p. 6:9-10.) Indeed, the delegation clause is part of a contract of adhesion as it was drafted by OKX and presented to Plaintiff on a take-it-or-leave-it basis. This type of contract of adhesion in the employment context, however, only presents a low degree of procedural unconscionability, and is not augmented given the absence of other factors. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) To the extent Plaintiff argues the terms were hidden, the Arbitration Agreement is referenced on the third page of the employment agreement and prominently entitled in bold and capitalized font. (Reply at p. 11:12-23; Barton Decl., Ex. A.) (See cf. *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold lettering, larger font, or capitalization].) The Arbitration Agreement is also only three paragraphs long with the class action waiver separately stated.

Even if the delegation clause is procedurally unconscionable, Plaintiff has not shown that it is substantively unconscionable. Plaintiff’s remaining arguments are directed toward the entirety of the Arbitration Agreement. (Reply at pp. 8:21-10:2.) Plaintiff argues (1) she is forced to arbitrate statutory rights, (2) there is improper fee shifting to the prevailing party, (3)

arbitration is required “before a private provider under terms conflicting with that provider’s employee-protective rules,” and (4) the Agreement’s fee/cost exposure language conflicts with JAM’s employee-protective minimum standards.

To the extent this implicates the delegation clause, courts are not precluded “from using unconscionability doctrine on a case-by-case basis to protect nonindigent consumers against fees that unreasonably limit access to arbitration.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 920.) The Agreement here provides “[e]mployee shall not be required to pay any type or amount of expense relating to the arbitration if such requirement would invalidate this Agreement or would otherwise be contrary to the law as it exists at the time of arbitration.” (Barton Decl., Ex. A.) Thus, the Agreement does not impose any unreasonable fees or expenses on Plaintiff for the costs of arbitration. (See Reply at . 13:1-4.) In addition Rule 31(c) of the JAMS Rules provides “[i]f an Arbitration is based on a clause or agreement that is required as a condition of employment, the only fee that an Employee may be required to pay is the initial JAMS Case Management Fee.” Plaintiff’s costs, therefore, will most likely be limited to the initial JAMS Case Management Fee. The Agreement does not conflict with the JAMS Rules in this regard. Plaintiff has not identified any other JAMS Rules that conflict with the Agreement, nor has Plaintiff demonstrated that the delegation clause is substantively unconscionable.

In any event, Plaintiff’s remaining arguments apply to the entirety of the Agreement and should be heard by the arbitrator. It would be improper for the Court to consider unconscionability in light of its specific inclusion in the clear and unmistakable delegation clause. For these reasons, the Court GRANTS the Motion to Compel Arbitration.

CONCLUSION

The Motion to Compel Arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration. (9 U.S.C. § 3.)